

The International Journal of Human Resource Management

ISSN: 0958-5192 (Print) 1466-4399 (Online) Journal homepage: www.tandfonline.com/journals/rijh20

How HRM control affects boundary-spanning employees' behavioural strategies and satisfaction: the moderating impact of cultural performance orientation

Vincent Onyemah, Dominique Rouziès & Nikolaos G. Panagopoulos

To cite this article: Vincent Onyemah, Dominique Rouziès & Nikolaos G. Panagopoulos (2010) How HRM control affects boundary-spanning employees' behavioural strategies and satisfaction: the moderating impact of cultural performance orientation, The International Journal of Human Resource Management, 21:11, 1951-1975, DOI: 10.1080/09585192.2010.505096

To link to this article: <https://doi.org/10.1080/09585192.2010.505096>



Published online: 29 Sep 2010.



Submit your article to this journal [↗](#)



Article views: 1288



View related articles [↗](#)



Citing articles: 4 View citing articles [↗](#)

How HRM control affects boundary-spanning employees' behavioural strategies and satisfaction: the moderating impact of cultural performance orientation

Vincent Onyemah^a, Dominique Rouziès^{b*} and Nikolaos G. Panagopoulos^c

^a*Marketing Department, Babson College, Babson Park, MA, USA;* ^b*HEC School of Management-Paris (CREGHEC), Jouy-en-Josas, France;* ^c*Athens University of Economics & Business, Athens, Greece*

This study examines how cultural performance orientation moderates the influence of human resource management (HRM) controls on boundary-spanning employees' behavioural strategies and satisfaction. Based on primary data obtained from 1049 salespeople in six countries (France, Ireland, Italy, Spain, United Kingdom, and the United States of America) and secondary data on cultural performance orientation, multilevel regression analyses show that national culture has a strong effect on the way boundary-spanning employees allocate their effort in response to HRM control. In particular, our results suggest that the more behaviour controls are used with boundary-spanning employees, the less attention they pay to customers and the more emphasis they place on their supervisors and non-selling tasks. Specifically, cultural performance orientation is shown to moderate significantly those relationships. Furthermore, results indicate that cultural performance orientation heightens boundary-spanning employees' job satisfaction resulting from behaviour control. Preliminary explanations for the differing impact of HRM control efficiency across cultures can be proposed.

Keywords: boundary-spanning employees; HRM control; national culture; performance orientation; sales force control systems; salespeople

Introduction

Global companies often want to install global human resource management policies and practices across all business units. These help managers to align and control the behaviour of employees across all locations. Many global firms also rely intensively on their salespeople, who constitute a unique class of boundary spanning employees, to bridge the space between companies and their customers, all of which may be located in different countries. This leads sales managers to install sales force control systems to guide salespeople's activities so they achieve strategic objectives.

Scholars, however, are finding that firms are under increasing pressure to align their human resource management (HRM) practices with national culture differences (Black, Gregerson, Mendenhall and Stroh 1999; Palich and Gomez-Mejia 1999; Sparrow 1999; Mendenhall and Oddou 2000; Bloom, Milkovich and Mitra 2003). The desire to standardize management systems is blunted by the reality that cultural norms can impose serious impediments to importing foreign practices. This is perhaps one of the drivers for the increasing research on the impact of national culture on HRM practices (Bae et al. 1998; Bloom, Chen and Lawler 2003; Gully, Phillips and Tarique 2003; Aycan 2005).

*Corresponding author. Email: rouzies@hec.fr

Reviewing a wide range of disciplines, Chenhall (2003) concludes that most contingency-based research about the influence of culture on HRM control is still exploratory and typically focuses only on managerial-level employees. Furthermore, Liao (2006) points out the importance of investigating how firms strategically manage different occupational groups of employees. Therefore, examining the impact of national culture on HRM practices, focused below managerial level, offers the opportunity to extend our understanding and assist executives in designing global management practices.

In this paper we examine the effect of HRM control systems on salespeople in international environments. Specifically, we study how the implementation and effectiveness of sales force control models are influenced by national culture. This study contributes to the field in several ways. First, we extend the control literature by examining the impact of HRM control on employees' behavioural responses in an international environment. Prior research on HRM control, largely within HRM, management, and accounting, examined the influence of culture on HRM control, ignoring employee behavioural responses, while much of the marketing control research examined the impact of HRM control on employee behavioural responses, ignoring the cross-cultural aspect. We integrate the fields of HRM, management, accounting, and marketing to develop a conceptual framework investigating the role of HRM control on employee behavioural responses across cultures.

Second, our research uses a recently discovered cultural dimension, namely performance orientation (House, Hanges, Javidan, Dorfman and Gupta 2004), that is intuitively appealing in the HRM control context. Performance orientation is the degree to which a community encourages and rewards its members for innovation, excellence, and performance improvement (House et al. 2004). In the HRM control arena, the importance of cultural performance orientation is underscored by the fact that firms manage employee performance.

This leads to the third reason to examine this issue, namely that the performance of salespeople (i.e., a major group of boundary-spanning employees) is critical to the success of firms (Aldrich and Herker 1977; Tushman and Scanlan 1981; Cross and Cummings 2004). In many Business-to-Business (BtoB hereafter) sectors, salespeople are mostly responsible for the firm's revenue line of profit and loss statements. Because boundary spanning personnel are, by definition, at the interface between companies and customers, they face competing demands from their company, supervisor and customers. To the best of our knowledge, the impact of HRM control on the way salespeople respond to those demands has never been studied empirically, let alone in a cross-cultural framework. Lloyd and Newell (2001) emphasize the paucity of research on the control of salespeople despite the size of their occupational group. Research on this group of employees is also scarce in the HR literature.

Fourth, our study is the first to investigate the effect of HRM control on salespeople's satisfaction in an international environment. Because turnover is recognized as a major concern for sales managers (Darmon 1990), salespeople's satisfaction is crucial to firm success. Moreover, although salespeople's satisfaction with their job or supervisor has been investigated (Cravens, Ingram, LaForge and Young 1993; Oliver and Anderson 1994; Challagalla and Shervani 1996), few researchers deal with salespeople's satisfaction with job promotions despite its importance in turnover decisions.

The results of our research indicate that culture should be an important element in the design of a sales force control system. We find that a culture's dominant performance orientation moderates the relationship between HRM control and boundary-spanning employee behavioural strategies and satisfaction. In particular, our results suggest that

cultural performance orientation has a strong impact on the types of: (1) behavioural strategies used by boundary-spanning employees; and (2) satisfaction experienced by boundary-spanning employees, in response to HRM control. These are new insights that can help executives better manage their international sales force.

Theoretical background

Overview of the theoretical model

The basic premise of this study is that: (1) HRM control influences the behavioural strategies and satisfaction of boundary spanners (i.e., salespeople); and (2) the nature of this influence is contingent on a country's performance orientation. This premise stems from the fact that more and more firms organize their sales forces into territories that are not constrained by national boundaries. These environmental changes raise many questions about managing sales forces across countries (e.g., Birkinshaw, Toulan and Arnold 2001).

The model in Figure 1 offers a new, relatively unexplored view of culture as a moderator of the relationship between HRM control and employee behavioural strategies and satisfaction. The model includes four relationships. The first relationship describes the effect of HRM control on salespeople's behavioural strategies. Specifically, our model suggests that salespeople, faced by competing pressures (i.e., company, supervisors, and customers) make tradeoffs regarding the demands they address. We are guided by a number of studies investigating the influence of HRM control on dimensions of salespeople call activity (i.e., Cravens et al. 1993; Oliver and Anderson 1994). The second relationship examines the effect of HRM control on salespeople's satisfaction with their supervisor, job, and promotion possibilities. This relationship draws on insights from

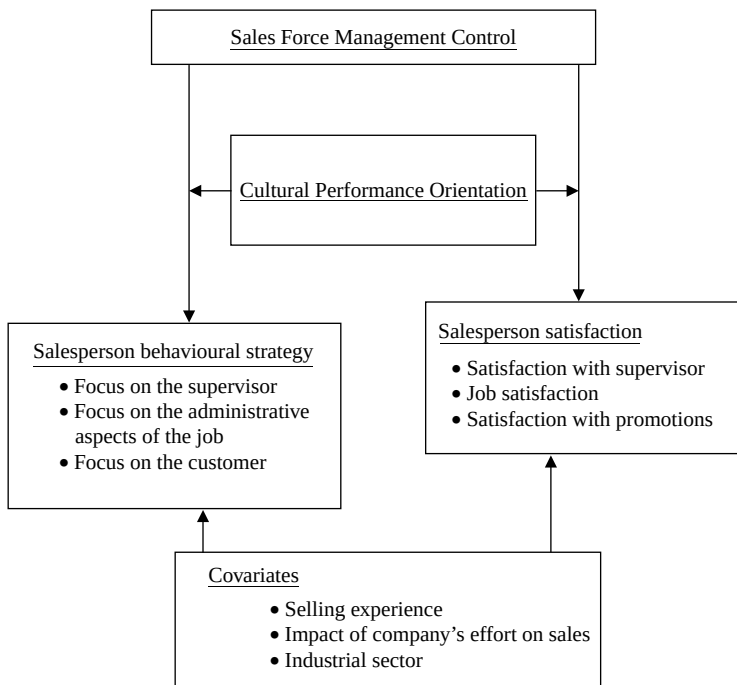


Figure 1. Conceptual framework.

HRM control in marketing (e.g., Challagalla and Shervani 1996). Finally, the third and fourth relationships represent the moderating effects of national culture on the two aforementioned relationships, respectively. Note that our model controls for the impact of companies' effort on sales, the industrial sector, and the selling experience of salespeople.

Human resource management (HRM) control

In keeping with Lloyd and Newell's research on pharmaceutical sales reps (2001), we take as our point of departure the most widely used conceptualization of HRM control applied to salespeople, namely Anderson and Oliver's (1987), which is based on organizational, psychological and economic theories. A sales force management control is defined as the 'organization's set of procedures for monitoring, directing, evaluating, and compensating its salespeople' (Anderson and Oliver 1987, p. 76). We use their conceptualization of control – a continuum anchored on two ideal (polar opposite) philosophies: outcome and behaviour control. In outcome control environments, the achievement of results is largely the responsibility of the salesperson who is free to select her/his methods for achieving results. Thus, the salesperson is like an entrepreneur, bearing considerable risks, operating with much autonomy, being held accountable for outcomes (i.e., sales results) and receiving variable compensation tied to the results achieved. In contrast, in behaviour control environments, the main responsibility for results is on the company's management. Managers require salespeople to conform to a given process (e.g., selling technique) in the belief that results will follow. For their obedience, salespeople are rewarded largely by fixed salary. In the next section, we initiate the development of our hypotheses. We are guided by several major theoretical approaches relevant to the sales force control problem, including agency theory, transaction cost analysis and leader-member exchange (LMX) theory.

HRM control and salesperson behavioural strategies

Because they operate at the interface of firms and their customers, salespeople are often facing simultaneous and competing pressures. As a result, salespeople must make decisions regarding the way they allocate their effort across the competing demands of their company, supervisor or customers. Most research in this area examines three behavioural strategies: call planning (e.g., Cravens et al. 1993), call activity (e.g., Oliver and Anderson 1994) or call strategy (e.g., Oliver and Anderson 1994). None, however, examines the way salespeople actually respond to the competing demands of companies, supervisors and customers. Our premise is that a salesperson's decision to focus on administrative tasks, supervisors or customers depends on the type of HRM control s/he faces.

As noted earlier, conforming to prescribed selling procedures is the major component of behaviour control. Reflecting this logic, agency theory suggests that when a principal (i.e., the sales manager) chooses the behaviour control option, s/he purchases information about an agent's behaviour (i.e., the salespersons) and rewards the desired behaviours (Eisenhardt 1985). Because an organization administers control mainly through supervisors (Challagalla and Shervani 1996), the salesperson is likely to devote more effort (than the outcome controlled salesperson) to better understand the expectations of his/her supervisor in order to succeed. This conjecture is further supported by the work of Becker (1992), Dirks and Ferrin (2002), Maertz, Griffeth, Campbell and Allen (2007), and Reichers (1985). Their work implies that a subordinate (i.e., the salesperson) differentiates relations with the immediate supervisor (i.e., the sales manager) from relations with the organization or its leaders. Thus, when individuals believe that feedback

will reveal how their behaviour is evaluated and enable them to perform better, they are likely to seek feedback actively (Ashford and Cummings 1985). Yet, outcome controlled salespeople are less likely than behaviour controlled salespeople to devote energy toward their supervisors because on the one hand this information is available to them in their own task performance and, on the other hand, outcome information (e.g., sales, quota achievement) can be obtained from other sources than supervisors. As a result, we expect the salesperson to focus more on his/her supervisor in a behaviour control system.

The fact that behaviour control minimizes the immediate pressure to sell predisposes salespeople to invest more effort in non-selling and administrative tasks (Anderson and Oliver 1987). This rationale is also supported by agency theoretic models of sales-force compensation (e.g., Joseph and Thevaranjan 1998) that suggest that if a firm can monitor the actions of the agent (i.e., the salesperson), then the need for variable pay (i.e., a form of outcome control) decreases. Thus, in a behaviour-based control system where the agent's actions are monitored closely and deviant behaviour can be detected and discouraged, effort on non-selling and administrative tasks can be encouraged. Consequently, we expect behaviour controlled salespeople to focus on those tasks more than their outcome controlled counterparts.

Furthermore, transaction cost analysis suggests that market contracting (i.e., outcome control in our context) is generally more cost-efficient than integrating transactions (i.e., behaviour control in our context) (Williamson 1985). In such environments, customers reward desired behaviours (Anderson and Oliver 1987) as salespeople remuneration is often tied to sales results, thereby providing them with a greater incentive (compared to their counterparts under behaviour control) to focus on customers. Based on the foregoing discussion, we hypothesize:

Hypothesis 1: The more HRM control is behaviour-based,

- the more salespeople focus on their supervisors (H1a);
- the more salespeople focus on their administrative tasks (H1b);
- the less salespeople focus on their customers (H1c).

HRM control and salesperson's satisfaction

For many BtoB companies, one of the most pressing issues facing sales managers concerns the turnover of salespeople as it is associated with high opportunity, recruitment and training costs. It is therefore not surprising that many practitioners are preoccupied by salespeople's satisfaction. In keeping with Challagalla and Shervani (1996), Oliver and Anderson (1994), and Piercy, Cravens, Lane and Vorhies (2006), we propose that behaviour-based control systems engender greater satisfaction with the supervisor and the job because of the improved salesperson's competencies and growth potentials resulting from the coaching provided by supervisors in such systems.

This is also consistent with LMX theory (Dansereau, Graen and Haga 1975) that posits that supervisors develop specific relationships with each of their subordinates. High-quality LMX relationships involve mutual trust, influence, obligation, consideration and frequent communication, among other characteristics. Instead, low-quality LMX relationships entail formal and contractual relationships often limited to economic exchange (Graen and Uhl-Bien 1995; Howell and Hall-Merenda 1999 among others). When supervisors form high-quality LMX relationships, LMX theory suggests that subordinates are more satisfied with their supervisors (Gerstner and Day 1997), their jobs (Graen, Novak and Sommer Kamp 1982; Seers and Graen 1984; Major, Kozlowski, Chao and Gardner 1995), their

career advancement and salary increases (Wakabayashi and Graen 1984; Wakabayashi, Graen, Graen and Graen 1988; Erdogan and Enders 2007). Interestingly, behaviour rather than outcome controls seem to provide more fertile grounds for high-quality LMX relationships to develop. Specifically, conceptual definitions of behaviour controls emphasize the importance of supervisors who monitor, direct, and evaluate the actions of salespeople. In contrast, the market rather than the supervisor pressures and guides the actions of the outcome controlled salesperson (Anderson and Oliver 1987). In other words, supervisors and salespeople are more likely to develop exchange relationships in the former case rather than in the latter. It is our contention therefore that behaviour control systems, characterized by higher levels of management involvement, engender higher-quality LMX relationships than outcome control systems, which are characterized by minimal contacts with supervisors. These insights suggest that behaviour controlled salespeople are likely to be more satisfied (than their outcome controlled counterparts) with their supervisor, job and promotion possibilities. Thus, we hypothesize:

Hypothesis 2: The more HRM control is behaviour-based, the higher the salespersons' satisfaction with their:

- supervisor (H2a);
- job (H2b);
- promotion possibilities (H2c).

Cultural performance orientation

Because salespeople write the top line of firms' income statements (Zoltners, Sinha and Zoltners 2001; Colletti and Fiss 2006), management pays close attention to their performance (Rich, Bommer, MacKenzie, Podsakoff and Johnson 1999). Consequently, the cultural dimension that is most germane to this group of boundary spanners concerns performance orientation. Identified by the Global Leadership and Organizational Behaviour Effectiveness (GLOBE) project, cultural performance orientation reflects the degree to which a collective encourages and rewards group members for performance improvement and excellence (House et al. 2004). The GLOBE research programme (House et al. 1999; House et al. 2004; Chhokar, Brodbeck and House 2007), based on the study of 62 societies, and is one of the most comprehensive studies conceptualizing and measuring culture. It is also the most recent study of culture and as such it addresses several conceptual and methodological limitations of prior research (Fu et al. 2004). As a result, the performance orientation dimension of national culture seems particularly relevant to our study.

Furthermore, performance orientation is associated with internal locus of control (House et al. 2004). The internal locus of control (i.e., a belief in individual responsibility) is related to societal values such as ambition, drive, thirst for learning and improvement, and high standards of performance (McClelland, Atkinson, Clark and Lowell 1953; Hofstede and Bond 1988), variables that also characterize societies that score highly on performance orientation. In such societies, when behaviour control is used, we argue that the sales manager's role will become more salient because s/he specifies the desired behaviour and, in keeping with agency and LMX theoretic reasoning, s/he purchases information about it, provides feedback and rewards it. Thus, behaviour controlled salespeople, driven by the desire to better succeed, are even likelier to focus on their supervisor in high performance orientation cultures.

Accordingly, the drive to achieve higher performance, and hence the reward and recognition tied to it, is not likely to compel salespeople operating in high cultural

performance orientation to focus on non-selling and administrative tasks because they would not identify them as sources of success. Thus, the positive influence of behaviour control on salespeople's focus on administrative tasks will be weaker in societies that score highly on performance orientation.

As noted earlier, a rationale consistent with transaction cost analysis, suggests that outcome control systems delegate salespeople's reward judgments to a third party – the customer base. While behaviour controlled salespeople focus less on customers than their outcome controlled counterparts, we argue that in high performance orientation cultures, they will devote more energy to succeed. In other words, customers should also appear as instrumental to their success. Accordingly, high performance orientation cultures should lower the negative effect of behaviour control on salespeople's focus on customers.

Therefore, we hypothesize:

Hypothesis 3: The higher the level of cultural performance orientation,

- the more positive the relationship between behaviour control and the salespersons' focus on their supervisor (H3a);
- the less positive the relationship between behaviour control and the salespersons' focus on administrative tasks (H3b);
- the less negative the relationship between behaviour control and the salespersons' focus on customers (H3c).

While LMX theory and empirical research suggests that high quality LMX relationships provide more satisfaction with the supervisor, job and promotions (Graen et al. 1982; Seers and Graen 1984; Wakabayashi and Graen 1984; Wakabayashi et al. 1988; Major et al. 1995; Erdogan and Enders 2007), we argue that those relationships should be even more satisfying in cultures where performance improvement and excellence are encouraged. Thus, individuals operating in those cultural environments are more actively seeking higher performance, thereby increasing the likelihood of entering high LMX relationships. On the basis of that preceding discussion, since we established earlier that behaviour-based control systems are promoting LMX relationships, we predict as follows:

Hypothesis 4: The higher the level of cultural performance orientation,

- the more positive the relationship between behaviour control and the salespersons' satisfaction with their supervisor (H4a);
- the more positive the relationship between behaviour control and the salespersons' job satisfaction (H4b);
- the more positive the relationship between behaviour control and the salespersons' satisfaction with promotion possibilities (H4c).

Covariates

The sales force management literature suggests that the attitudes and behaviours of salespeople are influenced by factors such as selling experience, industrial sector and the extent to which company efforts impact sales outcomes (e.g., Coughlan and Sen 1989; John and Weitz 1989; Rouziès and Macquin 2002). Thus, in our analyses, we include three covariates: (a) selling experience; (b) industrial sector; and (c) impact of company effort on sales.

Data collection and sample

Our primary data came from salespeople working in six countries (France, Ireland, Italy, Spain, United Kingdom and the United States of America) and four industrial sectors (healthcare and pharmaceutical, information systems and technology, fast moving consumer goods, and industrial goods). Companies the salespeople work for were contacted through participants at executive education seminars in two international business schools. For providing the contact details of their salespeople, the executives were promised a post-study report. Prior to mailing the questionnaire to salespeople, we asked a senior executive in each firm to inform their salespeople about the survey.

We created a first version of the questionnaire in English. We developed three alternative versions (Spanish, Italian and French) using the standard back translation technique. First- and second-wave mailings yielded 1049 usable questionnaires, representing a 50% response rate. The number of responses per country was: France (90), Ireland (67), Italy (95), Spain (274), United Kingdom (57) and the United States of America (466). We excluded 20 questionnaires because they had missing responses. We also excluded respondents from Belgium because only 10 questionnaires were returned. Analysis of non-response bias (Armstrong and Overton 1977) revealed no significant differences between early and late respondents. On average, respondents had eleven years of selling experience.

Measures and psychometric properties

Independent variables: control elements as perceived by salespeople

The objective here is to establish salespeople's perceptions of the control elements they experience. Some organizations might have a corporate level control philosophy. However, in practice, sales managers often adapt this overarching control philosophy to the heterogeneous circumstances of salespeople. A number of researchers have identified various elements that constitute a sales force control system (Table 1).

Empirical studies of sales force controls often measure the constitutive elements as perceived by the individual salesperson (e.g., Cravens et al. 1993; Oliver and Anderson 1994) because the best informants about sales force controls (as is) are salespeople (e.g., Jaworski and MacInnis 1989; Kohli 1989). We generated several initial items corresponding to each element of a sales force management control. Preliminary versions of these items were administered to convenience samples of salespeople and sales managers. Their feedback led to further revisions before arriving at the final set of items (see Appendix). Except for the compensation scheme (i.e., the proportion of salary in total compensation), each element was measured with multiple items: focus of performance criteria (five items); number of performance criteria (four items); degree of management intervention (four items); frequency of contact (four items); degree of management monitoring (six items), amount of coaching offered (five items); and transparency of evaluation criteria (five items). Since each item was anchored on a 7-point scale, the proportion of salary in compensation was transformed into a 7-point scale.

Dependent variables: salesperson behavioural strategies and satisfaction

The three facets of behavioural strategies (i.e., focus on the supervisor, the customer and the administrative aspects of the job) were each measured by the percentage of time the salesperson devotes to supervisors, customers and administrative tasks respectively. Satisfaction with job and satisfaction with supervisor were each measured with three items

Table 1. Elements of outcome- and behavior-based controls.

	← Continuum	Continuum →
	Outcome-based control	Behaviour-based control
1. Focus of performance criteria. Does management value how sales results are achieved (the effort expended) or simply the results themselves (the outcomes)?	Managers pay particular attention to bottom-line results.	Managers pay particular attention to the methods used to achieve outcomes.
2. Number of performance criteria. Does management judge salespeople using only two or three factors, or does it look at a dozen or more metrics?	Management evaluates a salesperson's performance according to a few observable metrics, primarily market-related such as sales volume.	Management evaluates a salesperson's performance subjectively, using many criteria.
3. Degree of management intervention. Who makes the final decision on important issues related to sales assignments, the salesperson or the manager?	Managers typically offer relatively little supervision. Salespeople make final decisions.	Managers offer relatively heavy supervision and make final decisions.
4. Frequency of contact. Are interactions between salespeople and management easy to enact?	Managers and salespeople have little to no contact.	Managers and salespeople are frequently and extensively in contact.
5. Degree of management monitoring. Does management show serious interest in salespeople's call and activity reports, or are these just a bureaucratic requirement?	Management rarely monitors its sales staff.	Management constantly monitors its sales staff.
6. Amount of coaching offered. Does management suggest ways that salespeople can improve their selling skills and abilities?	Managers offer little to no coaching.	Managers offer frequent, heavy coaching.
7. Transparency of evaluation criteria. How objective, clear and precise are evaluations at the company?	Evaluation criteria are very transparent.	Evaluation criteria are opaque.
8. Compensation scheme. Is the paycheck based largely on variable compensation triggered by outcomes? Or does it have a large salary component with a performance bonus driven by management's judgements?	A salesperson's compensation is mostly variable, keyed to results.	A salesperson's compensation is mostly fixed, keyed to salary or management's evaluations.

Sources: Adapted from Anderson and Oliver 1987; Cravens et al. 1993; Oliver and Anderson 1994; Krafft 1999; Anderson and Onyemah 2006.

(Appendix) while satisfaction with promotion possibilities was measured with two items (Churchill, Ford and Walker 1974).

The coefficient alphas obtained for the multi-item scales suggest unidimensionality and are consistent with expectations derived from theory: focus of performance criteria (0.81); number of performance criteria (0.80); degree of management intervention (0.69); frequency of contact (0.82); degree of management monitoring (0.83); amount of coaching offered (0.80); transparency of evaluation criteria (0.86); satisfaction with job (0.84); and satisfaction with supervisor (0.79). Subsequently, a confirmatory factor analysis was conducted using LISREL 8. The analysis yielded overall fit statistics that are within acceptable limits: root mean square error of approximation (RMSEA) was 0.0638, confidence interval (CI 90%) ranged from 0.0615 to 0.0662, goodness of fit index (GFI), adjusted goodness of fit index (AGFI), comparative fit index (CFI) and non-normed fit index (NNFI) reached 0.91, 0.90, 0.87 and 0.86 respectively (Diamantopoulos and Siguaw 2000). Overall, these statistics suggest that our multi-item measures are unidimensional and possess adequate reliability.

The multi-country nature of our sample demands that we conduct a multi-group confirmatory factor analysis (Bollen 1989; Horn 1991; Steenkamp and Baumgartner 1998) to examine the: (1) equivalence of factor-structures, (2) equivalence of coefficients linking the latent to the observed variables, and (3) equivalence of measurement error variances across countries (France, Ireland, Italy, Spain, United Kingdom and the United States of America). The results indicate equivalent factor structure across countries (RMSEA = 0.057; CI 90% ranges from 0.055 to 0.059; CFI = 0.87; NNFI = 0.86) which satisfies the first objective. Second, we test whether the coefficients linking the latent to the observed variables are the same in all countries. The results indicate an adequate fit (RMSEA = 0.060; CI 90% ranges from 0.058 to 0.062; CFI = 0.86; NNFI = 0.84), and that the coefficients linking the latent to the observed variables are the same in all countries. For the third objective, the coefficients linking the latent to the observed variables and the measurement error variances are both constrained to be invariant across countries. The resulting fit statistics are within acceptable limits (RMSEA = 0.063; CI 90 percent ranges from 0.061 to 0.065; CFI = 0.85; NNFI = 0.84). The foregoing results suggest measurement invariance of our variables across the countries.

Since each salesperson experiences a control that is the totality of its eight elements, a formative indicator was used to establish the degree of behaviour control. Consistent with Oliver and Anderson (1994) and Krafft (1999), the scores on the eight elements were added and averaged to form an index of the degree of behaviour control (versus outcome control represented by lower scores). For example, an average score of '7' reflects a pure behaviour control (BC) system while an average score of '1' reflects a pure outcome control (OC) system. Average scores that fall between '1' and '7' reflect hybrid controls.

Finally, the data on performance orientation were obtained from the GLOBE Research Programme (House et al. 2004). Performance orientation measures a society's preference for excellence and performance improvement (coefficient alpha: 0.90). The scales and measures reported in the GLOBE project possess adequate psychometric properties (Javidan, House, Dorfman, Hanges and Sully de Luque 2006). With regards to the covariates: selling experience was measured in years; relative impact of company's effort on sales results was measured by asking the respondents to split 100 points between the impact of their effort and that of the company (Appendix). Dummy variables were created for three of the four sectors. The reference sector is 'healthcare and pharmaceutical'.

The means, standard deviations and bivariate correlations of all the variables used in this research are presented in Table 2.

Model specification and estimation

Estimation procedures

Based on the hypotheses previously proposed and the nature of our data, our conceptualization involves two levels of analysis (i.e., individuals are nested in countries), as follows. For the salesperson behavioural strategy model, we specify:

Level 1:

$$\begin{aligned} \text{STRATEGY}_{ij} = & \beta_{0j} + \beta_{1j} \text{CONTROL}_{ij} + \beta_{2j} \text{EXPERIENCE}_{ij} + \beta_{3j} \text{EFFORT}_{ij} \\ & + \beta_{4j} \text{SECTOR}_{ij} + r_{ij} \end{aligned} \quad (1)$$

Level 2:

$$\beta_{0j} = \gamma_{00} + \gamma_{01} \text{P_ORIENTATION}_j + v_{0j} \quad (2)$$

$$\beta_{1j} = \gamma_{10} + \gamma_{11} \text{P_ORIENTATION}_j + v_{1j} \quad (3)$$

where:

Subscript i: salesperson

Subscript j: country

STRATEGY: Salesperson behavioural strategy (i.e., focus on the supervisor, the customer or the administrative aspects of the job)

CONTROL: Degree of behaviour control experienced by the salesperson

EXPERIENCE: Salesperson selling experience

EFFORT: Impact of company's effort on sales results

SECTOR: Industrial sector

P_ORIENTATION: Cultural performance orientation

Equation 1 specifies the salesperson-level model while Equation 2 specifies the country-level model. We assume the error term r_{ij} to be centred and normally distributed. Moreover, we assume the random effects v_{qj} ($q = 0, 1$) to be centred, multivariate normally distributed over countries and to be the unique effect of country j on the parameters β_{qj} while controlling for the country-level predictor variables. Similarly, for the salesperson satisfaction model, we specify:

Level 1:

$$\begin{aligned} \text{SATISFACTION}_{ij} = & \beta_{0j} + \beta_{1j} \text{CONTROL}_{ij} + \beta_{2j} \text{EXPERIENCE}_{ij} + \beta_{3j} \text{EFFORT}_{ij} \\ & + \beta_{4j} \text{SECTOR}_{ij} + r_{ij} \end{aligned} \quad (4)$$

Level 2:

$$\beta_{0j} = \gamma_{00} + \gamma_{01} \text{P_ORIENTATION}_j + v_{0j} \quad (5)$$

$$\beta_{1j} = \gamma_{10} + \gamma_{11} \text{P_ORIENTATION}_j + v_{1j} \quad (6)$$

Table 2. Summary statistics.

Variable	Mean	SD	1	2	3	4	5	6	7	8	9	10	11	12	13
1. Sales force management control	4.03	0.58	1.00												
2. Job satisfaction	5.46	1.05	.23***	1.00											
3. Satisfaction with promotion	4.00	1.57	.31***	.34***	1.00										
4. Satisfaction with supervisor	4.83	1.29	.40***	.43***	.46***	1.00									
5. Performance orientation	5.98	.17	.07*	.06	.05	.12***	1.00								
6. Salesperson's focus on supervisor	.06	.07	.23***	.10***	.17***	.21***	.21***	1.00							
7. Salesperson's focus on customer	.77	.20	-.25***	-.08*	-.08*	-.13***	-.02	-.64***	1.00						
8. Salesperson's focus on the administrative aspects of the job	.13	.13	.17***	-756 × 10 ⁻⁵	766 × 10 ⁻⁵	.01	840 × 10 ⁻⁵	.38***	-.84***	1.00					
9. Salesperson's selling experience	11.00	8.39	.02	.16***	-.07*	.03	-.21***	-.03	-.06*	.06*	1.00				
10. Impact of company effort on sales	37.20	18.55	.11***	-.04	-.02	.03	-.25***	-.01	-.09**	.08*	.13***	1.00			
11. Dummy information system and technology	.32	.47	-.32***	-.16***	-.16***	-.19***	-.24***	-.07*	.09**	-.07*	-.25***	927 × 10 ⁻⁵	1.00		
12. Dummy fast moving consumer goods	.17	.37	.04	.06	-.03	.03	-.46***	-.09**	-.05	.02	.40***	.28***	-.31***	1.00	
13. Dummy industrial goods	.09	.29	.11***	-788 × 10 ⁻⁵	.06	-.06	-.32***	-.11***	.09**	-.06	.12***	.02	-.22***	-.14***	1.00

Note: N = 1049 for individual-level variables; N = 6 for the country-level variable (i.e., performance orientation). ****p* < .001 ***p* < .01 **p* < .05.

where:

Subscript i: salesperson

Subscript j: country

SATISFACTION: Salesperson's satisfaction (i.e., satisfaction with job, supervisor and promotion possibilities)

CONTROL: Degree of behaviour control experienced by the salesperson

EXPERIENCE: Salesperson selling experience

EFFORT: Impact of company's effort on sales results

SECTOR: Industrial sector

P_ORIENTATION: Cultural performance orientation

We used hierarchical linear modelling (HLM) (Raudenbush and Bryk 2002) to test our hypotheses because our data are multilevel. Thus, we group-centred the salespeople-level predictors within countries and grand-mean-centred the country-level predictors. HLM uses iterative maximum likelihood estimation to simultaneously estimate the relationships of variables at several levels.

Results

Table 3 presents the results for the HLM models of salespeople's behavioural strategies while Table 4 shows the results for the HLM models of salespeople's satisfaction.

Salespeople's behavioural strategies

Hypothesis 1 posits that the more the sales force control is behaviour-based, the more salespeople focus on their supervisor (H1a), administrative tasks (H1b), and the less salespeople focus on their customers (H1c). Consistent with this hypothesis, the results depict: (1) the positive effects of behaviour controls on salespeople's focus on supervisors ($\beta = .02, p < .001$) and administrative tasks ($\beta = .04, p < .001$); and (2) the negative effects of behaviour controls on salespeople's focus on customers ($\beta = -.09, p < .001$). In addition, we hypothesized that the effects of behaviour controls on salespeople's focus on supervisors will be stronger in countries characterized by a high level of cultural performance orientation (H3a). As anticipated, this interaction effect is significant ($\gamma = .05, p < .05$). We also predicted that the effects of behaviour controls on salespeople's focus on the administrative aspects of their job will be weaker in countries characterized by a high level of cultural performance orientation (H3b). As expected, this interaction effect is significant ($\gamma = -.12, p < .01$). Next, H3c predicts that the effects of behaviour controls on salespeople's focus on customers will be weaker in countries characterized by a high level of cultural performance orientation. In line with this hypothesis, the results provide evidence for a significant interaction effect ($\gamma = .13, p < .05$).

Salespeople's satisfaction

Hypothesis 2 suggests that the more the sales force control is behaviour-based, the higher is salespeople's satisfaction with their supervisor (H2a), job (H2b), and promotion possibilities (H2c). The results support this hypothesis ($\beta = .78, p < .001$ for H2a; $\beta = .40, p < .001$ for H2b; $\beta = .88, p < .001$ for H2c). In Hypothesis 4, the effect of behaviour-based sales force control on salespeople's satisfaction with their supervisor (H4a), with the job (H4b), and with promotion possibilities (H4c) is expected to be stronger in countries characterized with a high level of performance orientation. H4a is

Table 3. Effect of HRM control on boundary-spanning employees' behavioural strategies: the moderating impact of performance orientation.

	Salesperson focus on supervisor		Salesperson focus on administrative aspects of the job		Salesperson focus on customer	
	Hypothesized effect	Unstandardized coefficient	Hypothesized effect	Unstandardized coefficient	Hypothesized effect	Unstandardized coefficient
Intercept		.06**		.17***		.77***
Sales force management control	+(H1a)	.02***	+(H1b)	.04***	-(H1c)	-.09***
Performance orientation		.05		-.12		0.11
<i>Moderating effect of country characteristics</i>						
Sales force management control × performance orientation	+(H3a)	.05*	-(H3b)	-.12**	+(H3c)	0.13*
<i>Covariates</i>						
Salespers. selling experience		294×10^{-6}		1029×10^{-6} *		-140×10^{-5}
Impact of comp. effort on sales		65×10^{-6}		370×10^{-6}		-50×10^{-5}
Dummy information system and technology		-307×10^{-5}		-.04***		.02
Dummy fast moving cons. goods		-538×10^{-5}		-.04		-.02
Dummy industrial goods		-1973×10^{-5}		-.07***		0.08*

Notes: N = 1049 for individual-level variables; N = 6 for the country-level variable (i.e., performance orientation). *** $p < .001$ ** $p < .01$ * $p < .05$.

Table 4. Effect of HRM control on boundary-spanning employees' satisfaction: the moderating impact of performance orientation.

	Salesperson satisfaction with supervisor		Salesperson satisfaction with the job		Salesperson satisfaction with promotions	
	Hypothesized effect	Unstandardized coefficient	Hypothesized effect	Unstandardized coefficient	Hypothesized effect	Unstandardized coefficient
Intercept		4.44***		5.22***		3.49***
Sales force management control	+(H2a)	.78***	+(H2b)	.40***	+(H2c)	.88***
Performance orientation		.55		.16		-.13
<i>Moderating effect of country characteristics</i>						
Sales force management control × performance orientation	+(H4a)	1.01**	+(H4b)	-.07	+(H4c)	-1.19*
<i>Covariates</i>						
Salespers. selling experience		4653×10^{-6}		.02***		-.02**
Impact of comp. effort on sales		1598×10^{-6}		-358×10^{-5} *		-335×10^{-5}
Dummy information system and technology		.20		.11		.31
Dummy fast moving cons. goods		.32		.21		.47
Dummy industrial goods		-.08		.01		.56

Notes: N = 1049 for individual-level variables; N = 6 for the country-level variable (i.e., performance orientation). *** $p < .001$ ** $p < .01$ * $p < .05$.

supported ($\gamma = 1.01$, $p < .001$) whereas H4b is not supported ($\gamma = -.07$, $p > .05$). In contrast, the results corresponding to the test of H4c are contrary to our prediction ($\gamma = -1.19$, $p < .01$).

Discussion

Salespeople are boundary-spanning employees whose performance is critical to firms' success. In many BtoB sectors, salespeople play another crucial role – that of being the shortest link between firms and their customers. Importantly, cultural performance orientation seems to be a particularly relevant issue in sales force management since one of the most pressing issues concerns their performance. Needless to say, questions related to their HRM control are pertinent, even more so in international contexts. This pertinence, however, is not reflected by previous theoretical and empirical research. The importance of the foregoing is underscored by trends that push firms to become more global. The framework we present draws on insights from HRM, accounting, marketing and management literature to examine both salespeople's behavioural strategies and satisfaction in response to HRM control. Based on existing theory, we developed and tested a number of hypotheses about how cultural performance orientation influences HRM control effect on salespeople's foci and satisfaction.

HRM control and salespeople's behavioural strategies

The results of this research suggest that cultural performance orientation serves as a catalyst when salespeople, in response to behaviour controls, focus on supervisors. This is not surprising given Oliver and Anderson's (1994) findings that behaviour controls enhance salespeople's acceptance of authority/direction. Thus, behaviour controls seem to push salespeople to focus on their supervisor, which is natural since supervisors, not customers, evaluate and reward them. This is also consistent with the LMX perspective that attributes members' outcomes to the quality of their relationships with their supervisors (Sparrowe and Liden 2005). In other words, the more salespeople are behaviour controlled, the more they will try to create a good relationship with their supervisor, even more so when they are more concerned about their performance – as cultural performance orientation induces them to be. All in all, we suspect that behaviour controlled salespeople are more likely to manage their supervisor, even more so in countries that are rated highly on performance orientation.

Conversely, cultural performance orientation dampens the negative impact of behaviour controls on salespeople's customer focus. Cravens and his colleagues (1993) suggest that behaviour controls support salespeople's customer orientation. To reconcile this apparent contradiction, we must take into account the fact that Cravens et al. (1993) measure how managers perceive salespeople (generally working in the field, far from supervision) handle their customers, not how salespeople *actually* handle their customers. In contrast, our research sheds light on salespeople's account of their *actual* behaviour in response to the degree of behaviour controls experienced. Then, it comes as no surprise that salespeople under behaviour controls emphasize their customers less, as customers neither evaluate nor reward them. On the other hand, salespeople under outcome controls depend on their customer relationships to achieve their selling objectives, and consequently focus on their customers. In other words, salespeople under outcome controls focus on the voice of the market because it is the market, not the supervisor that decides their fate. This is especially true in organizations where customers are 'kings'

(Anderson and Onyemah 2006). This is reinforced by cultural performance orientation that induces salespeople to be even more concerned with their performance.

The same explanatory mechanism applies to the tendency of salespeople under behaviour controls to focus on administrative tasks. Those results are supported by Cravens et al. (1993). We surmise that cultural performance orientation weakens this positive relationship since administrative tasks are not directly linked to salespeople's performance. In other words, salespeople, in performance oriented societies, are less likely to perform administrative tasks in response to behaviour control policies. This is because administrative tasks are considered as impediments to the achievement of their sales objectives.

The results of this research offer insights on HRM control of sales forces operating globally. They support the recent arguments of researchers regarding the 'national institutional embeddedness of firms' as a major factor influencing HRM practices (Gooderham, Nordhaug and Ringdal 1999), specifically in the sales force context (e.g., Segalla, Rouziès, Besson and Weitz 2006). However, we draw attention to the possibility that this relationship may not be as simple as originally assumed. Thus, this study suggests that cultural performance orientation moderates the relationship between the HRM control system in place and the behavioural strategies exhibited by salespeople.

HRM control and salespeople's satisfaction

For many BtoB companies, the turnover of salespeople represents a major concern, since it is associated with high opportunity costs, recruitment costs and training expenses. Because salespeople's satisfaction is expected to lower salespeople turnover (Churchill, Ford, Walker, Johnston and Marshall 2006), our study sheds some light on different aspects of salespeople's satisfaction.

Our contention is that compared to their counterparts under outcome controls, salespeople who face behaviour controls are more likely to be satisfied (i.e., with their supervisor, job and promotion possibilities). This finding is consistent with Oliver and Anderson's (1994) results. Moreover, our research shows that cultural performance orientation increases the ability of behaviour control to engender greater salespeople's satisfaction with their supervisor. Thus, we suspect that salespeople under behaviour controls are more likely to be satisfied with their supervisor, even more so in countries that are rated highly on performance orientation. This is not surprising given the foregoing discussion on the way behaviour controls enhance salespeople's focus on their supervisor. In keeping with the LMX (leader-member exchange) perspective that attributes members' outcomes to the quality of their relationships with their supervisor (Sparrowe and Liden 2005) we infer that, relative to outcome controls, behaviour controls are more likely to create a closer bond between salespeople and sales supervisors. Consequently, as salespeople are more concerned about their performance (i.e., as cultural performance orientation induces them to be), salespeople's satisfaction with their supervisor is likely to be even higher in response to behaviour controls. Thus, it is plausible that salespeople who face behaviour controls are more likely to manage their supervisors and be satisfied with her/him, even more so in countries with high levels of performance orientation.

Contrary to our prediction, our findings indicate that cultural performance orientation weakens the positive relationship between behaviour controls and salespeople's satisfaction with promotion possibilities. One might speculate that cultural performance orientation supports merit-based promotion, thereby reducing internal promotion possibilities. This is consistent with Rouziès, Segalla and Weitz's (2003) finding that

Latin managers are less willing to select external promotion candidates, as Latin countries, compared with Anglo Saxon countries, score low on cultural performance orientation.

Finally, the finding that more experienced salespeople are more satisfied with their job but less with their promotions, supports prior work by Avlonitis and Panagopoulos (2007), Cron and Slocum (1986) and Cron, Dubinsky and Michaels (1988). Similarly, the finding that they focus more on administrative tasks might be explained by the fact that more tenured salespeople tend to work harder (Cron and Slocum 1986; Cron et al. 1988). A seemingly intriguing finding is that the relative impact of company's effort on sales has a negative effect on a salesperson's satisfaction with the job. However, a larger impact of company's effort implies a smaller impact of salespeople's effort on sales. Since most sales organizations set sales goals to salespeople, we surmise that salespeople feel less satisfied with their job because they have little control on the attainment of assigned sales objectives. As Zoltners and colleagues note: 'Salespeople are responsible only for their own efforts, but they are accountable for the company's efforts' (2001, p. 256). In addition, the finding that salespeople who sell information systems and technology, compared to salespeople who sell pharmaceutical and healthcare services/products, spend less time on administrative activities is consistent with the work of Churchill et al. (2006, p. 50) who speculate that the efficiencies gained from advances in communication technology help offset the sheer number of additional activities salespeople perform today. Finally, we found that, compared to salespeople in the pharmaceutical and healthcare sector, salespeople in the industrial goods sector tend to focus more on customers. This finding is not surprising since those customers are likely to be larger and to engage in extensive decision-making processes (Churchill et al. 2006, p. 50), thereby requiring more time.

Limitations

Our study has limitations that should be addressed in future research. First, we sampled mainly BtoB salespeople. Whether our results are generalizable to other employment groups remains to be demonstrated. Indeed, we hope future research will investigate our model using samples from a variety of boundary-spanning populations.

Also, some companies adopt cultural control, that is, a pattern of shared values and beliefs that guide norms of behaviour within a sales organization (Jaworski, Stathakopoulos and Krishnan 1993). While the sales force literature include both formal (outcome, behaviour, process, activity) and informal (cultural, professional) controls (Baldauf, Cravens and Piercy 2005), the vast majority of research to date shows more empirical support for formal controls. Furthermore, the behaviour/outcome control framework is the dominant HRM control theory applied to sales force management (Leigh, Pullins and Comer 2001). The fact that the results of our study do not generalize to informal types of control represents a limitation.

Another limitation of our study is that it investigates one single cultural dimension (i.e., performance orientation), albeit the most pertinent for salespeople. Further research should examine other cultural dimensions. Finally, one should not generalize results based on investigations restricted to the US and some Western European countries, especially since a sizeable portion of international business growth takes place in emerging economies (e.g., China, India). Future research should set out to investigate other environments.

Managerial implications

Two implications of our findings stand out. The first concerns the typical actions of salespeople working under a regime of behaviour control. In theory, if a salesperson follows

a well designed selling process (especially one that has been shown to be successful) the sale will eventually be made. In practice, however, salespeople can focus on various constituencies. We find that salespeople working under a behaviour control system tend to focus more on their supervisors than on their customers. In order to succeed in a firm where one's behaviour is critical to internal success it becomes important to focus on the supervisor, who is typically a trainer and/or evaluator. In such settings, career success and promotion come not only from achieving good sales results but also from being obedient to supervisors and following company-recommended procedures. However, research shows that behaviour control leads to better performance in many situations, such as stable and programmable task environments (e.g., Snell and Youndt 1995; Liao 2005, 2006). But in marketplaces characterized by intense competition, paying little or no attention to customers can lead to a loss of sales to competitors.

Customer orientation is significant because salespeople, as boundary spanners, are more exposed to changing demands from an evolving task environment. Therefore, even if large parts of the firm operate under conditions that favour behaviour controls, boundary spanners – more likely to operate in microenvironments laden with uncertainties and competing demands – will need a control system adapted to their unique situations. One might be tempted to opt for output control, but this might not be the remedy especially in the long run because it may not yield higher performance (e.g., Weitzel and Jonsson 1989; Sutton 1990; Rowe and Wright 1997; Liao 2006).

The second key implication stems from an important demographic factor that will heighten the need to increase employee satisfaction. Baby boomers are retiring at various but unrelenting paces in developed economies. This is leading to the threat of a labour shortage during the upcoming decade. With new external talent in short supply, firms must improve employee satisfaction in order to hold on to their best employees. Therefore a salesperson's satisfaction becomes an important element for sales executives to consider. We find that salespeople are more satisfied with their supervisors when they are managed by a behaviour control system. According to our study, this satisfaction is further enhanced when sales personnel live in a culture with strong cultural performance orientation. So a key to retaining and keeping salespeople happy appears to be a control system that is behaviour-based.

Whether they adopt behaviour or outcome controls, sales managers in international companies face a dilemma. If they rely on behaviour controls, customer focus might be compromised. On the other hand, if they implement outcome controls, salespeople will develop less satisfying relationships with their supervisors and perhaps become less committed to the firm. Both of these effects are more pronounced in cultures with high levels of performance orientation. Needless to say, few sales managers would voluntarily trade a loss of customer focus for more satisfied salespeople.

The solution is likely to be found somewhere between the two pure types, namely in a mixed sales management system that blends elements of behaviour and outcome controls (Baldauf et al. 2005). Because of the idiosyncrasies of boundary-spanning jobs such as selling, we advise sales managers to consider using mixed control systems for their sales organizations. While the quest for the right blend of control elements poses significant challenges, the benefits can be substantial since mixed control systems, when properly designed and implemented, address a wider array of problems (e.g., Merchant 1985; Gooderham, Parry and Ringdal 2008). The reward for getting the right balance between behaviour and outcome could be more satisfied and productive salespeople and an improved bottom line.

A major policy implication relates to cross-border mergers and acquisitions. Going by the findings reported in this paper, the success of cross-border mergers and acquisitions might depend on the extent to which the HRM controls adopted for boundary spanners

(especially salespeople) respond favourably to the prevailing cultural performance orientation. In the same vein, expatriate sales executives responsible for implementing home-office HRM controls, should be sensitive to the significant impact of cultural performance orientation on the responsiveness of their salespeople with respect to the time devoted to customers, administrative assignments, and supervisors.

It is not enough for organizations to align HRM controls with strategic objectives (e.g., Baird and Meshoulam 1988). To improve the effectiveness of their HRM controls, organizations should equally strive to bring their HRM controls into alignment with the cultural performance orientation of the countries where they operate. Furthermore, given that cultural performance orientation is fixed (i.e., not managerially actionable), organizations are left with making reasonable adjustments to their HRM control for boundary spanning employees (e.g., the mixed control systems mentioned earlier). These adjustments could have a positive impact on the firm's market value (e.g., Becker and Gerhart 1996), even more so if the focal employee group comprises salespeople since these boundary spanners are principally responsible for the firm's revenue.

Acknowledgement

This paper is dedicated to the memory of Erin Anderson who provided moral, technical and financial support for the field work.

References

- Aldrich, H., and Herker, D. (1977), 'Boundary Spanning Roles and Organization Structure,' *Academy of Management Review*, 2, 2, 217–230.
- Anderson, E., and Oliver, R.L. (1987), 'Perspectives on Behavior-based Versus Outcome-based Sales Force Control Systems,' *Journal of Marketing*, 51, 76–88.
- Anderson, E., and Onyemah, V. (2006), 'How Right Should the Customer Be?' *Harvard Business Review*, 84, 7/8, 58–67.
- Armstrong, J.S., and Overton, T.S. (1977), 'Estimating Nonresponse Bias in Mail Surveys,' *Journal of Marketing Research*, 16, 3, 396–402.
- Ashford, S.J., and Cummings, L.L. (1985), 'Proactive Feedback Seeking: The Instrumental Use of the Information Environment,' *Journal of Occupational Psychology*, 58, 1, 67–79.
- Avlonitis, G.J., and Panagopoulos, N.G. (2007), 'Exploring the Influence of Sales Management Practices on the Industrial Salesperson: A Multi-source Hierarchical Linear Approach,' *Journal of Business Research*, 60, 7, 765–775.
- Aycan, Z. (2005), 'The Interplay between Cultural and Institutional/Structural Contingencies in Human Resource Management Practices,' *International Journal of Human Resource Management*, 16, 7, 1083–1119.
- Bae, J., Chen, S., and Lawler, J.J. (1998), 'Variations in Human Resource Management in Asian Countries: MNC Home-country and Host-country Effects,' *International Journal of Human Resource Management*, 9, 653–670.
- Baird, L., and Meshoulam, I. (1988), 'Managing Two Fits of Strategic Human Resource Management,' *Academy of Management Review*, 13, 1, 116–128.
- Baldauf, A., Cravens, D.W., and Piercy, N.F. (2005), 'Sales Management Control Research-synthesis and an Agenda for Future Research,' *Journal of Personal Selling & Sales Management*, 25, 1, 7–26.
- Becker, B., and Gerhart, B. (1996), 'The Impact of Human Resource Management on Organizational Performance: Progress and Prospects,' *Academy of Management Journal*, 39, 4, 779–801.
- Becker, T.E. (1992), 'Foci and Bases of Commitment: Are they Distinctions Worth Making?' *Academy of Management Journal*, 35, 1, 232–244.
- Birkinshaw, J., Toulan, O., and Arnold, D. (2001), 'Global Account Management in Multinational Corporations: Theory and Evidence,' *Journal of International Business Studies*, 32, 2, 231–248.
- Black, J., Gregerson, H., Mendenhall, M., and Stroth, L. (1999), *Globalizing People Through International Assignments*, Reading, MA: Addison Wesley.

- Bloom, M., Milkovich, G.T., and Mitra, A. (2003), 'International Compensation: Learning from how Managers Respond to Variations in Local Host Contexts,' *International Journal of Human Resource Management*, 14, 1350–1367.
- Bollen, K.A. (1989), *Structural Equations with Latent Variables*, New York: John Wiley & Sons.
- Challagalla, G.N., and Shervani, T.A. (1996), 'Dimensions and Types of Supervisory Control: Effects on Salesperson Performance and Satisfaction,' *Journal of Marketing*, 60, 1, 89–105.
- Chenhall, R.H. (2003), 'Management Control Systems Design within its Organizational Context: Findings from Contingency-based Research and Directions for the Future,' *Accounting, Organizations and Society*, 28, 127–168.
- Chhokar, J.S., Brodbeck, F.C., and House, R.J. (2007), *Culture and Leadership Across the World: The GLOBE Book of In-Depth Studies of 25 Societies*, Mahwah, NJ: Lawrence Erlbaum Associates.
- Churchill, G.A., Ford, N.M., and Walker, O.C. (1974), 'Measuring the Job Satisfaction of Industrial Salesmen,' *Journal of Marketing Research*, 11, 254–260.
- Churchill, G.A., Ford, N.M., Walker, O.C., Johnston, M.W., and Marshall, G.W. (2006), *Sales Force Management*, New York: McGraw-Hill Irwin.
- Colletti, J.A., and Fiss, M.S. (2006), 'The Ultimate Accountable Job: Leading Today's Sales Organization,' *Harvard Business Review*, 84, 7/8, 124–131.
- Coughlan, A., and Sen, S.K. (1989), 'Sales Force Compensation: Theory and Managerial Implications,' *Marketing Science*, 8, 4, 324–342.
- Cravens, D.W., Ingram, T.N., LaForge, R.W., and Young, C.E. (1993), 'Behavior-based and Outcome-based Control Systems,' *Journal of Marketing*, 57, 47–59.
- Cron, W.L., Dubinsky, D.J., and Michaels, R.E. (1988), 'The Influence of Career Stages on Components of Salesperson Motivation,' *Journal of Marketing*, 52, 1, 78–92.
- Cron, W.L., and Slocum, J.W. (1986), 'The Influence of Career Stages on Salespeople's Job Attitudes, Work Perceptions and Performance,' *Journal of Marketing Research*, 23, 2, 119–129.
- Cross, R., and Cummings, J.N. (2004), 'Tie and Network Correlates of Individual Performance in Knowledge-intensive Work,' *Academy of Management Journal*, 47, 928–937.
- Dansereau, F. Jr., Graen, G.W., and Haga, W.J. (1975), 'A Vertical Dyad Linkage Approach to Leadership within Formal Organizations. A Longitudinal Investigation of the Role Making Process,' *Organizational Behavior & Human Performance*, 13, 1, 46–78.
- Darmon, R.Y. (1990), 'Identifying Sources of Turnover Costs: A Segmental Approach,' *Journal of Marketing*, 54, 46–56.
- Diamantopoulos, A., and Siguaw, J.A. (2000), *Introducing LISREL*, Thousand Oaks, CA: Sage.
- Dirks, K.T., and Ferrin, D.L. (2002), 'Trust in Leadership: Meta-Analytic Findings and Implications for Research and Practice,' *Journal of Applied Psychology*, 87, 4, 611–628.
- Eisenhardt, K.M. (1985), 'Control: Organizational and Economic Approaches,' *Management Science*, 31, 134–149.
- Erdogan, B., and Enders, J. (2007), 'Support from the Top: Supervisors' Perceived Organizational Support as a Moderator of Leader-member Exchange to Satisfaction and Performance Relationships,' *Journal of Applied Psychology*, 92, 2, 321–330.
- Fu, P.P., Kennedy, J., Tata, J., Yukl, G., Bond, M.H., Peng, T., Srinivas, E.S., Howell, J.P., Prieto, L., Koopman, P., Boonstra, J.J., Pasa, S., Lacassagne, M., Higashide, H., and Cheosakul, A. (2004), 'The Impact of Societal Cultural Values and Individual Social Beliefs on the Perceived Effectiveness of Managerial Influence Strategies: A Meso Approach,' *Journal of International Business Studies*, 35, 4, 284–305.
- Gerstner, C.R., and Day, D.V. (1997), 'Meta-analytic Review of Leader-member Exchange Theory: Correlates and Construct Issues,' *Journal of Applied Psychology*, 82, 6, 827–844.
- Gooderham, P.N., Nordhaug, O., and Ringdal, K. (1999), 'Institutional and Rational Determinants of Organizational Practices: Human Resource Management in European Firms,' *Administrative Science Quarterly*, 44, 507–531.
- Gooderham, P., Parry, E., and Ringdal, K. (2008), 'The Impact of Bundles of Strategic Human Resource Management Practices on the Performance of European Firms,' *International Journal of Human Resource Management*, 19, 11, 2041–2056.
- Graen, G.B., and Uhl-Bien, M. (1995), 'Development of Leader-member Exchange (LMX) Theory of Leadership Over 25 Years: Applying a Multi-level Multi-domain Perspective,' *Leadership Quarterly*, 6, 219–247.

- Graen, G.B., Novak, M., and Sommerkamp, P. (1982), 'The Effect of Leader-member Exchange and Job Design on Productivity and Satisfaction: Testing a Dual Attachment Model,' *Organizational Behavior and Human Performance*, 30, 109–131.
- Gully, S.M., Phillips, J.M., and Tarique, I. (2003), 'Collectivism and Goal Orientation as Mediators of the Effect of National Identity on Merit Pay Decisions,' *International Journal of Human Resource Management*, 14, 1368–1390.
- Hofstede, G., and Bond, M. (1988), 'The Confucius Connection: From Cultural Roots to Economic Growth,' *Organizational Dynamics*, 16, 4, 4–21.
- Horn, J.L. (1991), 'Comments on "Issues in Factorial Invariance",' in *Best Methods for the Analysis of Change*, eds. L.M. Collins and J.L. Horn, Washington, DC: American Psychological Association, pp. 114–125.
- House, R.J., Hanges, P.J., Javidan, M., Dorfman, P.W., and Gupta, V. (2004), *Culture, Leadership, and Organizations: The GLOBE Study of 62 Societies*, Thousand Oaks, CA: Sage Publications.
- House, R.J., Hanges, P.J., Ruiz-Quintanilla, S.A., Dorfman, P.W., Javidan, M., Dickson, M., and Gupta, V. (1999), 'Cultural Influences on Leadership and Organizations,' in *Advances in Global Leadership*, 1, eds. W.H. Mobley, M.J. Gessner and V. Arnold, Stanford, CT: JAI Press, pp. 171–233.
- Howell, J.M., and Hall-Merenda, K.E. (1999), 'The Ties That Bind: The Impact of Leader-member Exchange, Transformational and Transactional Leadership, and Distance on Predicting Follower Performance,' *Journal of Applied Psychology*, 84, 5, 680–694.
- Javidan, M., House, R.J., Dorfman, P.W., Hanges, P.J., and Sully de Luque, M. (2006), 'Conceptualizing and Measuring Cultures and their Consequences: A Comparative Review of GLOBE's and Hofstede's Approaches,' *Journal of International Business Studies*, 37, 897–914.
- Jaworski, B.J., and MacInnis, D.J. (1989), 'Marketing Jobs and Marketing Controls: Toward a Framework,' *Journal of Marketing Research*, 26, 4, 406–419.
- Jaworski, B.J., Stathakopoulos, V., and Krishnan, H.S. (1993), 'Control Combinations in Marketing: Conceptual Framework and Empirical Evidence,' *Journal of Marketing*, 57 (January), 57–69.
- John, G., and Weitz, B.A. (1989), 'Sales Force Compensation: An Empirical Investigation of Factors Related to Use of Salary Versus Incentive Compensation,' *Journal of Marketing Research*, 26, 1, 1–14.
- Joseph, K., and Thevaranjan, A. (1998), 'Monitoring and Incentives in Sales Organizations: An Agency-theoretic Perspective,' *Marketing Science*, 17, 2, 107–124.
- Kohli, A.K. (1989), 'Effects of Supervisory Behavior: The Role of Individual Differences Among Salespeople,' *Journal of Marketing*, 53, 4, 40–50.
- Krafft, M. (1999), 'An Empirical Investigation of the Antecedents of Sales Force Control Systems,' *Journal of Marketing*, 63, 3, 120–134.
- Leigh, T.W., Pullins, E.B., and Comer, L.B. (2001), 'The Top Ten Sales Articles of the 20th Century,' *Journal of Personal Selling & Sales Management*, 21, 3, 217–227.
- Liao, Y. (2005), 'Business Strategy and Performance: The Role of Human Resource Management Control,' *Personnel Review*, 34, 3, 294–305.
- Liao, Y. (2006), 'Human Resource Management Control System and Firm Performance: A Contingency Model of Corporate Control,' *International Journal of Human Resource Management*, 17, 4, 716–733.
- Lloyd, C., and Newell, H. (2001), 'Capture and Transfer: Improving the Performance of the Pharmaceutical Sales Rep,' *International Journal of Human Resource Management*, 12, 3, 464–483.
- Maertz, C.P. Jr., Griffeth, R.W., Campbell, N.S., and Allen, D.G. (2007), 'The Effects of Perceived Organizational Support and Perceived Supervisor Support on Employee Turnover,' *Journal of Organizational Behavior*, 28, 8, 1059–1075.
- Major, D.A., Kozlowski, S.W.J., Chao, G.T., and Gardner, P.D. (1995), 'A Longitudinal Investigation of Newcomer Expectations, Early Socialization Outcomes, and the Moderating Effects of Role Development Factors,' *Journal of Applied Psychology*, 80, 3, 418–431.
- McClelland, D.C., Atkinson, J.W., Clark, R.A., and Lowell, E.L. (1953), *Achievement Motive*, New York: Appleton-Century-Crofts, Inc.
- Mendenhall, M., and Oddou, G. (2000), *Readings and Cases in International Human Resource Management* (3rd ed.), Cincinnati, OH: Southwestern.
- Merchant, K.A. (1985), *Control in Business Organizations*, Boston, MA: Pitman.
- Oliver, R.L., and Anderson, E. (1994), 'An Empirical Test of the Consequences of Behavior – and Outcome-based Sales Control Systems,' *Journal of Marketing*, 58, 53–67.

- Palich, L.E., and Gomez-Mejia, L.R. (1999), 'A Theory of Global Strategy and Firm Efficiencies: Considering the Effects of Cultural Diversity,' *Journal of Management*, 25, 587–606.
- Piercy, N.F., Cravens, D.W., Lane, N., and Vorhies, D.W. (2006), 'Driving Organizational Citizenship Behaviors and Salesperson In-role Behavior Performance: the Role of Management Control and Perceived Organizational Support,' *Journal of the Academy of Marketing Science*, 34, 2, 244–262.
- Raudenbush, S.W., and Bryk, A.S. (2002), *Hierarchical Linear Models: Applications and Data Analysis Methods* (2nd ed.), Newbury Park, CA: Sage.
- Reichers, A.E. (1985), 'A Review and Reconceptualization of Organizational Commitment,' *Academy of Management Review*, 10, 3, 465–476.
- Rich, G.A., Bommer, W.H., MacKenzie, S.B., Podsakoff, P.M., and Johnson, J.L. (1999), 'Apples and Apples or Apples and Oranges? A Meta-analysis of Objective and Subjective Measures of Sales Performance,' *Journal of Personal Selling & Sales Management*, 19, 4, 41–52.
- Rouziès, D., and Macquin, A. (2002), 'An Exploratory Investigation of the Impact of Culture on Sales Force Management Control Systems in Europe,' *Journal of Personal Selling & Sales Management*, 23, 1, 61–72.
- Rouziès, D., Segalla, M., and Weitz, B.A. (2003), 'Cultural Impact on European Staffing Policies in Sales Management,' *International Journal of Research in Marketing*, 20, 67–85.
- Rowe, W.G., and Wright, P.M. (1997), 'Related and Unrelated Diversification and their Effect on Human Resource Management Controls,' *Strategic Management Journal*, 18, 4, 329–338.
- Seers, A., and Graen, G.B. (1984), 'The Dual Attachment Concept: A Longitudinal Investigation of the Combination of Task Characteristics and Leader-member Exchange,' *Organizational Behavior & Human Performance*, 33, 3, 283–306.
- Segalla, M., Rouziès, D., Besson, M., and Weitz, B.A. (2006), 'A Cross-national Investigation of Incentive Sales Compensation,' *International Journal of Research in Marketing*, 23, 419–433.
- Snell, S.A., and Youndt, M.A. (1995), 'Human Resource Management and Firm Performance: Testing a Contingency Model of Executive Controls,' *Journal of Management*, 21, 4, 11–37.
- Sparrow, P.R. (1999), 'International Reward Systems: To Converge or Not to Converge,' in *International HRM in Europe*, eds. C. Brewster and H. Harris, London: Routledge, pp. 103–118.
- Sparrowe, R.T., and Liden, R.C. (2005), 'Two Routes to Influence: Integrating Leader-member Exchange and Social Network Perspectives,' *Administrative Science Quarterly*, 50, 505–535.
- Steenkamp, J.E.M., and Baumgartner, H. (1998), 'Assessing Measurement Invariance in Cross-national Consumer Research,' *Journal of Marketing Research*, 25, 3, 78–90.
- Sutton, R.I. (1990), 'Organizational Decline Processes: A Social Psychological Perspective,' in *Research in Organizational Behavior*, vol. 12., eds. L.L. Cummings and B.M. Staw, Greenwich, CT: JAI Press, pp. 205–255.
- Tushman, M.L., and Scanlan, T.J. (1981), 'Boundary Spanning Individuals: Their Role in Information Transfer and their Antecedents,' *Academy of Management Journal*, 24, 289–305.
- Wakabayashi, M., and Graen, G.B. (1984), 'The Japanese Career Progress Study: A 7-Year Follow-Up,' *Journal of Applied Psychology*, 69, 4, 603–614.
- Wakabayashi, M., Graen, G., Graen, M., and Graen, M. (1988), 'Japanese Management Progress: Mobility Into Middle Management,' *Journal of Applied Psychology*, 73, 2, 217–227.
- Williamson, O.E. (1985), *The Economic Institutions of Capitalism*, New York: Free Press.
- Weitzel, W., and Jonsson, F. (1989), 'Decline in Organizations: A Literature Integration and Extension,' *Administrative Science Quarterly*, 91, 91–109.
- Zoltners, A.A., Sinha, P., and Zoltners, G.A. (2001), *The Complete Guide to Accelerating Sales Force Performance*, New York: AMACOM, American Management Association.

Appendix

Scale items

Focus of performance criteria.

1. I think that what really matters most to management is the results I achieve, rather than how I achieve them (R*).
2. I think management does not care a great deal about my input into the job, instead they focus on my output (R*).

3. In my opinion, management puts a lot of emphasis on the outcome of my effort, but puts little weight on the effort itself (R*).
4. Only my tangible results matter to my management (R*).
5. No matter how well I behave and how well I struggle to achieve results, at the end of the day my promotion and career progress depend mostly on my bottom line (R*).
6. Anchor: 1 (completely disagree) to 7 (completely agree).

Number of performance criteria.

1. When management rates my performance, they take many things into consideration.
2. I think management considers only a handful of things when determining my performance evaluation (R*).
3. To get a favourable performance evaluation I only need to pay attention to a few factors (R*).
4. In my opinion, there are just a couple of requirements I need to meet to get a good performance evaluation (R*).

Anchor: 1 (completely disagree) to 7 (completely agree).

Degree of management intervention.

1. Management grants me a great deal of autonomy (R*).
2. Management allows me to do almost as I please (R*).
3. I make the final decision on practically everything that has to do with my selling assignment (R*).
4. Management allows me freedom to organize my work (R*).

Anchor: 1 (completely disagree) to 7 (completely agree).

Frequency of contact.

1. I don't get day-to-day contact with management (R*).
2. I have many opportunities to interact with management.
3. I'm isolated from management (R*).
4. Management doesn't spend time with me (R*).

Anchor: 1 (completely disagree) to 7 (completely agree).

Degree of management monitoring.

1. Management tracks my activities.
2. Management keeps a close watch on how I spend my time.
3. Management takes my call and activity reports seriously.
4. Management carries out a detailed examination of my call and activity reports.
5. Management here stays informed of my activities.
6. Management checks to see if I'm following its instructions.

Anchor: 1 (completely disagree) to 7 (completely agree).

Amount of coaching offered.

1. I receive a lot of coaching from my boss or those I report to.
2. Management provides a lot of on-the-job suggestions and tips on ways they think I can improve my selling skills and abilities.
3. There are senior salespeople designated by management who offer me a lot of coaching.
4. Management makes sure I know how to carry out my assigned tasks.
5. Management gives me training intended to improve my productivity.

Anchor: 1 (completely disagree) to 7 (completely agree).

Transparency of evaluation criteria.

How would you describe the criteria management seems to use in evaluating your performance?

1. Not at all clear Very clear (R*).
2. Very imprecise Very precise (R*).
3. Very vague Not at all vague (R*).

- 4. Subjective Objective (R*).
- 5. Very partial Highly impartial (R*).

Compensation scheme: Proportion of salary in compensation.

Satisfaction with job. (Churchill, Ford and Walker 1974).

- 1. My work gives me a sense of accomplishment
 - 2. My job is exciting
 - 3. My work is satisfying
- Anchor: 1 (completely disagree) to 7 (completely agree).

Satisfaction with supervisor. (Churchill, Ford and Walker 1974).

- 1. Management has always been fair in dealings with me
 - 2. Management gives me credit and praise for work well done
 - 3. Management lives up to its promises to me
- Anchor: 1 (completely disagree) to 7 (completely agree).

Satisfaction with promotion possibilities. (Churchill, Ford and Walker 1974).

- 1. My opportunities for advancement are limited (R*).
 - 2. I have a good chance for promotion
- Anchor: 1 (completely disagree) to 7 (completely agree).

Selling experience: number of years of general selling experience

Impact of company's effort on sales: How much do you think your effort impacts? Indicate this by splitting 100 points between the following two influences:

(a) My efforts (calls, ability, skill, service, etc.)	---
(b) Company activities (advertising, promotion, product quality, order processing and dispatch, etc.)	---
Total	100